

Brijesh Kumar Agrawal v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 10 March 2016 · Writ-C No. 11426 of 2016 · **Stay of Tehsildar recovery against director pending vires of clause 4.3(f)(v); recovery against company-consumer not restrained.**

HEADNOTE

Pending a challenge that clause 4.3(f)(v) of the Electricity Supply Code, 2005, authorising recovery of electricity dues from directors of a company-consumer, is ultra vires the definition of consumer in section 2(15) of the Electricity Act, 2003, the Court issued notice and stayed enforcement of a Tehsildar recovery citation against the petitioner-director, without restraining recovery against the company named in the supply agreement.

FACTUAL SUMMARY

A Tehsildar, Dadri citation dated 29 February 2016 demanded Rs.2,07,42,167 of electricity dues from a private limited company and the petitioner, its director. The supply agreement named the company as consumer. The petitioner challenged the citation and clause 4.3(f)(v) of the Electricity Supply Code, 2005, which provides for recovery from directors where the defaulting consumer is a company, as ultra vires section 2(15) of the Electricity Act, 2003. The writ was connected with Writ-C No. 8370 of 2016.

HOLDING-UNITS

INTERPLAY · UP-2005::4.3(f)(v)

director-recovery-where-consumer-is-company

HOLDING

On a challenge that clause 4.3(f)(v), which provides that where the defaulting consumer is a company recovery from its directors shall be ensured, is ultra vires section 2(15) of the Electricity Act, 2003 because a director is not the consumer, the Court held that the issue requires consideration, issued notice to the Advocate General, and directed that the recovery citation shall not be enforced against the petitioner-director in the meantime, without restraining recovery of the amount due against the company-consumer. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.3(F)(V) OF THE ELECTRICITY SUPPLY CODE, 2005 IS ULTRA VIRES SECTION 2(15) OF THE ELECTRICITY ACT, 2003 INsofar AS IT AUTHORISES RECOVERY OF ELECTRICITY DUES FROM DIRECTORS OF A COMPANY WHICH IS THE CONSUMER.

Notice issued; listed for 28 March 2016. ¶ 1